SESSION 2: Intra-Group Adjustments

In this session, we would examine intra-group adjustments as they are treated in the consolidated statement of comprehensive income- the third consolidation procedure.

Objectives

At the end of this session, you should be able to:

a) Prepare a consolidated statement of comprehensive income for a parent and a subsidiary that includes intra-group adjustments
b) Prepare consolidated financial statements involving both statement of financial position and statement of comprehensive income.

As indicated in the previous session, there are rules specific to the preparation of consolidated statement of profit or loss and other comprehensive income. When it comes to elimination of intra-group transactions, the following are the rules:

Intra-group sales and purchases

The effect of intra-group trading must be eliminated from the consolidated statement of profit or loss. Such trading will be included in the sales revenue of one group entity and the purchases of another. The consolidated sales revenue and cost of sales will be:

Sales Revenue of P +Sales Revenue of S – Intra-Group Sales
Cost of Sales of P + Cost of Sales of S - Intra-Group Sales

Provision for Unrealised Profit (PUP)
Inventory

Any intra-group profit on inventory held at the year-end must also be eliminated by debiting (increasing) cost of sales and crediting (reducing) closing inventory in the Statement of Financial Position. The adjustment for unrealised profit should be shown as an increase to cost of sales, returning closing inventory back to true cost to group and eliminating the unrealised profit.

Provision for Unrealised Profit (PUP)
Transfer of Non-current Assets

If one group company sells a non-current asset to another group company the following adjustments are needed in the statement of profit or loss to account for the unrealised profit and the additional depreciation.

- Any profit or loss arising on the transfer must be removed from the consolidated statement of profit or loss included in the seller's profit
- The depreciation charge for the buyer must be adjusted so that it is based on the cost of the asset to the group.

Any over/under depreciation arising from intra group transfers of non-current assets must be eliminated from the appropriate expense heading – cost of sales, distribution costs, administrative expenses (depending on where the transfer is situated). It will also be excluded from the total depreciation.

If the unrealised profit originally arose in the subsidiary, the non-controlling interest must be adjusted for its share of the unrealised profit. To achieve this, in the first instance all the unrealised profit must be eliminated from the subsidiary profit to determine the correct amount of profit earned by the group trading as if it were a single entity. The NCI's share is then calculated by reference to the reduced amount of the subsidiary's profit.

Note that PUP is added on to the group cost of sales and the NCI's share is removed in the NCI working.

Impairment of Goodwill
Once any impairment has been identified during the year, the charge for the year will be passed through the consolidated statement of profit or loss. This will usually be through operating expenses but always look out for instructions as to where to present the impairment in the consolidated income statement.

If non-controlling interests have been valued at fair value, a portion of the impairment expense must be removed from the non-controlling interest's share of profit.

Fair Valuation at Acquisition Date
If a depreciating non-current asset of the subsidiary has been revalued as part of a fair value exercise when calculating goodwill, there will be additional fair value depreciation which will result in an adjustment to the consolidated statement of profit or loss.

The subsidiary's own statement of profit or loss will include depreciation based on the carrying amount of the asset in the subsidiary's individual statement of financial position. The consolidated statement of profit or loss must include a depreciation charge based on the fair value of the asset, as included in the consolidated statement of financial position (CSFP). Extra depreciation must therefore be calculated and charged to an appropriate cost category (usually cost of sales, but in line with examiner requirements).

Intra-group Interest
If there is a loan outstanding between group entities the effect of any loan interest received and paid must be eliminated from the consolidated statement of profit or loss. The relevant amount of interest should be deducted from group investment income and group finance cost

In a mid-year acquisition with intra-group loan, the finance costs may include interest on a loan from the parent which has only arisen in the post-acquisition period. There is the

need to make adjustment to ensure the interest is reflected in the post-acquisition profit only.

Intra-group Dividend

Dividends from subsidiaries must be eliminated since the whole of the profits of those subsidiaries are being consolidated and it will be double counting to include the dividends as well. Dividends from subsidiaries should normally be included under a separate heading in the parent company's statement of comprehensive income. However, it may be included under investment income with investment incomes from non-group entities. The intra-group dividend must be eliminated and only non-group entities dividend consolidated.

Illustration 1

The following draft statements of profit or loss of PEGGEY and its 75% subsidiary SHADEY are provided for the year to 31 December 2025.

Statement of Comprehensive Income for the for the year ended 31 Dec 2025

	Peggy GH¢	**Shadey GH¢**
Revenue	1,200,000	600,000
Cost of sales	(720,000)	(280,000)
Gross profit	480,000	320,000
Operating expenses	(186,000)	(90,000)
Operating profit	294,000	230,000
Finance cost		(6,000)
Profit before tax	294,000	224,000
Tax expense	(100,000)	(64,000)
Profit for the year	**194,000**	**160,000**

The following information is available:

- During the year SHADEY sold goods to PEGGY for GH¢40,000 making a mark-up of one third. Only 20% of the goods were sold before the year end.
- Goodwill has been subjected to impairment review and has revealed an impairment of GH¢10,000 which is to be recognised in operating cost.
- Fair value exercise at acquisition has resulted in additional depreciation charge of GH¢30,000 to be recognised in cost of sales
- The policy of PEGGY is to measure non-controlling interest at fair value.

Required:

Prepare the consolidated statement of profit or loss for PEGGY group for 31 December 2025

Solution 1

Peggy Group
Consolidated statement of Profit or Loss for the year 31/12/25

	GH¢000
Revenue (1,200+600-40)	1,760
Cost of Sales (W2)	(998)
Gross profit	762
Operating (186+90+10)	(286)
Finance cost	(6)
Profit before tax	470
Tax (100+64)	(164)
Profit for the year	**306**
Profit for the year attributable to:	
Parent/Group (306-28)	278
NCI (W3)	28
	306

Workings

1. Structure

Parent = 75% NCI = 25%

2. Cost of sales

Parent	720
Sub	280
Intra-group sales	(40)
Unrealised Profit (1/4x32,000)	8
Additional Depreciation	30
	998

3. NCI Calculation

Share of profit (25% x160)	40
Share of unrealised profit (25%x8)	(2)
Share of FV Depreciation (25%x30)	(8)
Share of impairment (25%x10)	(3)
NCI share of subsidiary profit for the year	**28**

Alternative Method - NCI Calculation

Subsidiary profit for the year	160
Unrealised profit -	(8)
Fair value depreciation	(30)
Impairment of goodwill	(10)
	112
NCI share of adjusted profit-25%x112	**28**

Explanatory note

1. Intra-group sales of GH¢40,000– eliminated from consolidated revenue and cost of sales
2. Unrealised profit of GH¢8,000, - (1/4x40,000x80%) is eliminated by adding to the cost of sales. Increase in cost of sales is a decrease in profit.
3. Goodwill impairment GH¢10,000 is added to operating expenses to reduce profit.
4. Fair value adjustment of a depreciable asset upwards leads to the need for additional depreciation charge of GH¢30,000, added to cost of sales to reduce profit.
5. Note the share of NCI, all adjustments that impact the subsidiary profit will be reflected in the NCI share of the subsidiary profit for the year. In this illustration all the adjustments affect subsidiary, therefore NCI takes a share of each. Unrealised profit is because the subsidiary sold the goods; goodwill is because NCI is measured at fair value; depreciation is because the subsidiary depreciable asset is revalued upwards.

Illustration 2

Biriwa is an 80% subsidiary acquired by Anomabo two years ago. Below are the statements of profit and loss and other comprehensive income.

Statement of Comprehensive Income for the year ended 31 December 2024

	Anomabo GH¢	**Biriwa GH¢**
Revenue	20,000	4,000
Cost of sales	(8,000)	(800)
Gross profit	12,000	3,200
Operating expenses	(6,000)	(1,800)
Operating profit	6,000	1,400
Investment income	6,000	1,400
Finance cost	(1,200)	(200)
Profit before tax	10,800	2,600
Tax expense	(1,600)	(400)
Profit for the year	**9,200**	**2,200**
Other Comprehensive Income (OCI)		
Revaluation gain	400	40
Total Comprehensive Income	**9,600**	**2,240**

- During the year Biriwa has sold goods to Anomabo for GH¢3,000m at a mark-up of 50%. At year end one fifth of these goods remained unsold by Anomabo.

- There was no impairment of goodwill.
- On acquisition of Biriwa, a fair value adjustment of GH¢200m was made to the plant of Biriwa with a remaining life of five years and depreciation is on straight-line basis, with no residual value.
- At acquisition Anomabo advanced Biriwa a loan of GH¢2,000m and charged its subsidiary an effective rate of interest of 10%. Both companies have correctly accounted for the transaction.

Required:
Prepare the consolidated statement of profit or loss and other comprehensive income for Anomabo Group for the year to 31 December 2024.

Solution 2

Anomabo Group
Consolidated Statement of Profit or Loss for the year ended -31/12/24

	GH¢m
Revenue (20,000+4,000-3,000)	21,000
Cost of Sales (8,000+800-3,000+200+40)	(6,040)
Gross Profit	14,960
Operating Costs (6,000+1,800)	(7,800)
Profit from operations	7,160
Investment income (6,000+1,400-200)	7,200
Finance cost (1,200+200-200)	(1,200)
Profit before tax	13,160
Tax (1,600+400)	(2,000)
Profit for the year	**11,160**
Other comprehensive income	
Revaluation gains (400+40)	440
Total Comprehensive Income	**11,600**
Profit of the year attributable to:	
Parent (11,160-392)	10,768
NCI (W2)	392
	11,160
TCI attributable to:	
Parent (11,600-400)	11,200
NCI (W2)	400
	11,600

Workings

1. Structure
Anomabo/Parent/Group = 80%; NCI = 20%

2. Non-controlling Interest	
Share of profit (20%x2,200)	440
FVA-Depreciation-(20%x40)	(8)
Unrealised profit (20%x200)	(40)
	392

Explanatory note

1. Intra-group sales of GH¢3,000m – eliminated from consolidated sales and cost of sales
2. Unrealised profit of GH¢200m eliminated by adding to cost of sales (1/3x GH¢3,000mx1/5)
3. Fair value depreciation of GH¢40m (GH¢200m/2) added to cost of sales.
4. Intra-group interest on loan of GH¢200m (10%x GH¢2,000m) eliminated from consolidated investment income and consolidated finance cost.
5. Note the impact of the adjustments on the calculation of NCI – unrealised profit and fair value depreciation.

Illustration 3
The following are extracts from the financial statements for the year ended 31 December 2025 of Aduana Ltd and Boafo Ltd.

Statement of Comprehensive Income for the for the year ended 31 December 2025

	Aduana GH¢	**Boafo GH¢**
Operating profit	196	95
Dividend from Boafo	24	-
Profit before tax	220	95
Tax expense	(70)	(30)
Profit for the year	**150**	**65**
Ordinary share capital @ GH¢1	200	50

Aduana Ltd purchased 40,000 shares in Boafo Ltd in 2020. Aduana Ltd.'s retained earnings at 1 January 2025 were GH¢270,000.

Required:
Prepare the consolidated statement of comprehensive income

Solution 3

Aduana Group
Statement of Comprehensive Income for the for the year ended 31 December 2025

	GH¢
Operating profit (196,000+95,000)	291,000
Tax (70,000+30,000)	(100,000)
Profit for the year	**191,000**
Profit for the year Attributable to:	
Parent/Group (191,000-13,000)	178,000
NCI (20% x 65,000)	13,000
	191,000

Explanatory note:

1. Group structure = Parent 40,000/50,000x100 = 80% NCI = 20%
2. The intra-group dividend received from the subsidiary is eliminated because the parent will take a share of the same from profit of GH¢65,000 from which the dividend is paid. The elimination will therefore avoid double counting.
3. The group share of the consolidated profit for the year can also be determined as Parent 100% profit less the intra-group dividend, plus its share of the subsidiary profit. (GH¢150,000 – GH¢24,000) + 80% of GH¢65,000 = GH¢178,000.